

MOTION TO STRIKE (LINE # 3)

In light of the court's ruling above with regard to the fraudulent concealment fifth cause of action, Defendant GM's motion to strike the demand for punitive damages from the FAC's prayer for relief is DENIED.

The Court will prepare the formal Order.

Calendar Lines # 6

Case Name Halo Microelectronics Co., Ltd. et al vs Darson Zhang

Case No. 25CV480225

Petition to Compel Arbitration

I. BACKGROUND

Plaintiffs Halo Microelectronics Co., Ltd. ("HMC") and Halo Microelectronics Int'l Corp. ("HMI") (collectively "Halo") have filed suit against defendant Darson Zhang ("Zhang") for breach of fiduciary duty, conversion, and aiding and abetting breach of fiduciary duty. HMC is a Chinese corporation located in Foshan City, China. (Complaint at ¶ 2). HMI is a Delaware corporation with its principal place of business in San Jose, California, and is an indirect subsidiary of HMC. (*Id.* at ¶ 3). Halo designs, develops, and commercializes high-performance analog and mixed-signal integrated circuit products for consumer and auto electronics. (*Id.* at ¶ 8).

David Nam ("Nam") became CEO of HMI in June 2019 and CEO of HMC in December 2020, overseeing Halo's business operations. (Complaint at ¶¶ 9, 10). In December 2019, HMI hired Zhang as Vice President and General Manager of HMI's Power Conversion Business Unit. (*Id.* at ¶ 12). In July 2021, HMC entered into a joint development agreement with Navitas Semiconductor Ltd. to divest the power conversion business into a separate company. (*Id.* at ¶ 13). HMC and Navitas used Elevation Semiconductor, Inc. (ESI) to carry out research and development into charger and adapter technology. (*Ibid.*). Nam was appointed CEO and director of ESI with Navitas CEO Gene Sheridan as the only other director. (Complaint at ¶ 14). Zhang served as General Manager and Vice President at ESI while continuing to hold positions at HMI. (*Id.* at ¶ 15).

ESI enacted the 2021 Equity Incentive Plan to attract and retain full-time employees. (Complaint at ¶¶ 16, 17). HMC understood the plan was for full-time ESI employees not otherwise employed by Halo, as providing Halo employees with ESI stock options would dramatically overcompensate them. (*Id.* at ¶ 17). Under the First Amendment to the 2021 Equity Incentive Plan, Zhang received 200,000 stock option grants and Nam received 240,000 grants, vesting at 25 percent after the first year and approximately 1.6 percent monthly, thereafter, with acceleration upon change-of-control events. (*Id.* at ¶ 18). Zhang received approximately twenty times more stock than individual full-time ESI engineers. (*Id.* at ¶ 19). Neither Zhang nor Nam disclosed they were awarding themselves substantial ownership stakes in ESI while remaining Halo fiduciaries. (*Ibid.*).

On June 26, 2022, Nam signed an Assignment and Assumption agreement transferring HMC's entire interest in ESI to eventually sell the equity at an artificially low price without HMC's knowledge or consent. (Complaint at ¶ 21). On August 19, 2022, Nam allowed Navitas to obtain legal control of ESI without consideration to HMI. (*Id.* at ¶ 22). Zhang and Nam actively negotiated the sale of HMI's interest in ESI to Navitas to accelerate vesting and obtain more stock options. (*Id.* at ¶ 23). Navitas CEO Gene Sheridan was desperate to acquire HMI's shares as Navitas stock had fallen from \$18.56 per share to \$4.08 per share between October 2021 and October 2022. (*Id.* at ¶ 24).

The parties reached a tentative agreement in October 2022 valuing ESI at \$80 million, meaning HMI would receive \$20 million in Navitas stock. (Complaint at ¶ 25). The existing option pool would increase from 12.7 percent to 15.7 percent. (*Ibid*). Nam would personally receive \$3,120,000 for investing 100 percent in Elevation Microsystems, Nam’s newly formed company designed to compete with Halo. (*Ibid*). Zhang demanded payment to stay silent about Nam’s self-dealing and Elevation Microsystems. (Complaint at ¶ 26). Nam and Sheridan agreed to pay Zhang \$1,600,000 for 100 percent support, which included supporting the undervalued transaction and keeping Nam’s secrets. (*Ibid*).

The parties reached an agreement in January 2023. (Complaint at ¶ 27). On January 18, 2023, Nam and Zhang each signed Key Holder Agreements transferring their vested ESI shares into equivalent Navitas shares. (*Ibid*). Zhang’s agreement shows he owned 340,025 stock options and received \$1,687,952 worth of Navitas stock. (*Ibid*). Nam’s agreement shows he owned 668,030 stock options and received \$2,316,235 worth of Navitas stock. (*Ibid*). On January 19, 2023, Navitas announced acquiring the remaining minority interest in ESI from HMI for \$20 million in Navitas stock. (Complaint at ¶ 28). Following the announcement, Navitas stock rose steadily to \$10.54 per share by June 30, 2023. (*Ibid*). An email from Navitas General Counsel Paul Delva to Nam dated March 19, 2023, outlined concealment efforts, stating it was preferable not to register Nam’s shares to prevent HMC from learning about the improper stock receipt and Navitas’s secret investment in Nam’s company. (Complaint at ¶ 29).

Nam resigned as CEO of ESI following the buyout and stepped down as CEO of HMC in December 2023 but continued as CEO of HMI until March 2025. (Complaint at ¶ 30). At that point, Halo began investigating Nam’s conduct, allegedly revealing widespread breaches of fiduciary duty, fraud, theft, and misuses of confidential information. Halo sued Nam in a separate action. (*Ibid*). Zhang resigned from ESI in February 2023 and continued employment at HMI until leaving in March 2024. (Complaint at ¶ 31).

Zhang now moves to compel arbitration pursuant to the Confidentiality, Non-compete and Invention Assignment Agreement (“the Agreement”). Zhang maintains this action is related to the pending arbitration arising from *Halo Microelectronics Co., Ltd. v. Elevation Microsystems, Inc., et al.*, Case No. 25CV463582 (“*Elevation* action”). Halo argues the Agreement does not cover its claims against Zhang, which are different from the *Elevation* action. Halo also maintains that Zhang waived its right to arbitrate by failing to first mediate this dispute. Having reviewed the Agreement, the Court finds this motion premature for failure to mediate as a condition precedent to arbitration and denies the motion. The Court, however, grants Zhang’s Request for Judicial Notice pursuant to Evidence Code section 452, subdivision (d).

II. LEGAL STANDARD

Under the Federal Arbitration Act (“FAA”), the court’s role is limited to determining “(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue.” (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130). To determine “whether a valid contract to arbitrate exists,” courts apply “ordinary state law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170).

Code of Civil Procedure section 1281.2 provides: “On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement.”